# T-12 OPERATING STATEMENT

Driftwood Self Storage | Tempe, AZ

| | |
|---|---|
| **Property** | Driftwood Self Storage |
| **Period Ending** | June 27, 2024 |
| **Basis** | Accrual - Trailing 12 Months |
| **Prepared By** | Lumen Residential Services |
| **Size** | 740 storage units |

## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4000 Gross Potential Rent | 66,821 | 67,857 | 62,178 | 68,175 | 65,830 | 62,098 | 61,214 | 63,676 | 63,938 | 66,878 | 64,344 | 65,865 | 778,875 |
| 4010 Loss to Lease | 1,160 | 1,149 | 1,223 | 1,135 | 1,179 | 1,211 | 1,192 | 1,219 | 1,205 | 1,237 | 1,123 | 1,164 | 14,197 |
| 4020 Vacancy Loss | 58,079 | 54,937 | 56,120 | 51,951 | 55,525 | 56,353 | 51,168 | 56,598 | 56,899 | 53,109 | 54,604 | 52,421 | 657,763 |
| 4030 Concessions | 6,274 | 6,181 | 6,382 | 5,807 | 6,346 | 5,790 | 6,548 | 6,243 | 6,568 | 6,037 | 6,207 | 6,487 | 74,871 |
| 4040 Bad Debt | 1,312 | 1,407 | 1,328 | 1,448 | 1,392 | 1,433 | 1,290 | 1,321 | 1,303 | 1,281 | 1,352 | 1,430 | 16,296 |
| 4050 Late Fees | 17,481 | 16,902 | 17,731 | 18,428 | 17,054 | 17,097 | 16,713 | 17,608 | 18,221 | 18,510 | 16,677 | 17,299 | 209,722 |
| 4060 Utility Reimbursements | 30,568 | 28,540 | 27,326 | 26,865 | 28,673 | 28,255 | 27,085 | 29,940 | 28,832 | 27,312 | 29,783 | 27,638 | 340,815 |
| 4070 Parking Income | 42,958 | 45,295 | 43,758 | 44,465 | 43,105 | 41,953 | 43,351 | 43,045 | 46,373 | 42,474 | 46,735 | 44,684 | 528,194 |
| 4080 Application Fees | 33,428 | 32,491 | 32,960 | 35,020 | 35,000 | 33,495 | 32,749 | 32,733 | 33,382 | 33,875 | 32,096 | 32,275 | 399,504 |
| 4090 Pet Rent | 33,771 | 35,287 | 35,816 | 37,421 | 34,004 | 33,395 | 37,565 | 33,780 | 34,795 | 34,384 | 33,733 | 37,215 | 421,167 |
| 4100 Laundry Income | 36,941 | 39,689 | 36,231 | 38,101 | 39,853 | 38,328 | 37,408 | 40,128 | 36,215 | 39,665 | 38,080 | 37,615 | 458,253 |
| 4110 Cable/Internet Revenue | 44,533 | 44,985 | 46,245 | 42,266 | 40,249 | 45,802 | 41,881 | 41,952 | 45,277 | 43,554 | 46,028 | 41,306 | 524,079 |
| 4120 CAM Reimbursements | 39,587 | 38,129 | 41,883 | 38,665 | 39,391 | 41,680 | 37,421 | 39,217 | 38,452 | 38,561 | 41,048 | 39,972 | 474,005 |
| 4130 Tax Reimbursements | 14,224 | 13,511 | 14,360 | 14,551 | 13,602 | 14,759 | 14,136 | 14,577 | 14,236 | 14,696 | 15,101 | 14,715 | 172,469 |
| 4140 Insurance Reimbursemen | 13,982 | 13,422 | 12,956 | 13,506 | 13,934 | 12,832 | 13,749 | 12,720 | 14,233 | 12,469 | 13,162 | 13,189 | 160,154 |
| 4150 Percentage Rent | 30,453 | 31,470 | 29,305 | 30,627 | 32,226 | 31,810 | 30,379 | 32,180 | 32,962 | 30,557 | 32,843 | 33,374 | 378,185 |
| 4160 Misc. Income | 7,474 | 7,641 | 7,112 | 7,480 | 7,728 | 7,339 | 7,555 | 7,430 | 7,090 | 7,156 | 7,012 | 7,060 | 88,076 |
| 4170 Payroll - Management | 2,696 | 2,996 | 2,796 | 2,789 | 2,776 | 2,939 | 2,980 | 2,722 | 2,735 | 2,810 | 2,908 | 3,026 | 34,173 |
| 4180 Payroll - Leasing | 3,067 | 3,302 | 3,001 | 3,328 | 3,232 | 3,046 | 3,197 | 3,194 | 3,031 | 3,044 | 3,029 | 3,185 | 37,656 |
| 4190 Payroll - Maintenance | 2,874 | 3,221 | 3,131 | 3,020 | 3,087 | 3,043 | 3,087 | 3,085 | 2,839 | 2,841 | 3,121 | 2,989 | 36,336 |
| 4200 Payroll Taxes & Benefits | 6,001 | 5,942 | 5,732 | 5,832 | 5,723 | 5,773 | 5,714 | 5,870 | 5,489 | 5,592 | 5,851 | 5,712 | 69,231 |
| 4210 Repairs - Plumbing | 4,329 | 3,957 | 3,838 | 4,046 | 3,818 | 4,243 | 4,091 | 3,933 | 3,972 | 3,816 | 3,993 | 3,876 | 47,912 |
| 4220 Repairs - HVAC | 6,644 | 6,453 | 6,276 | 6,769 | 6,296 | 6,456 | 6,818 | 6,581 | 6,333 | 6,433 | 7,022 | 6,941 | 79,022 |
| 4230 Repairs - Electrical | 4,696 | 4,921 | 4,581 | 4,585 | 4,596 | 4,526 | 4,587 | 4,983 | 4,501 | 4,807 | 4,987 | 5,011 | 56,781 |
| 4240 Repairs - Appliances | 2,874 | 2,949 | 2,648 | 2,686 | 2,604 | 2,857 | 2,832 | 2,911 | 2,857 | 2,811 | 2,867 | 2,831 | 33,727 |
| 4250 Painting & Decorating | 5,086 | 4,681 | 5,020 | 4,813 | 5,057 | 4,471 | 5,058 | 4,660 | 4,541 | 5,063 | 4,677 | 4,579 | 57,706 |
| 4260 Flooring | 4,784 | 4,224 | 4,430 | 4,513 | 4,251 | 4,575 | 4,447 | 4,489 | 4,484 | 4,445 | 4,777 | 4,659 | 54,076 |

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## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4460 Management Fee | 6,037 | 6,114 | 6,348 | 5,683 | 6,253 | 6,105 | 6,376 | 5,662 | 5,625 | 5,800 | 5,720 | 5,765 | 71,487 |
| 4470 Property Insurance | 3,319 | 3,101 | 3,357 | 3,207 | 3,466 | 3,362 | 3,380 | 3,373 | 3,177 | 3,085 | 3,191 | 3,381 | 39,398 |
| 4480 Real Estate Taxes | 7,136 | 7,413 | 7,204 | 7,402 | 7,073 | 7,689 | 6,983 | 7,085 | 6,857 | 7,402 | 7,542 | 7,347 | 87,134 |
| 4490 Asset Management Fee | 3,041 | 2,811 | 3,015 | 2,766 | 3,037 | 3,039 | 2,734 | 2,733 | 2,739 | 2,691 | 2,811 | 2,916 | 34,332 |
| 4500 Replacement Reserves | 5,965 | 6,229 | 6,375 | 6,099 | 6,257 | 6,303 | 6,340 | 6,234 | 5,976 | 5,915 | 5,806 | 6,002 | 73,500 |
| 4510 Roof Repairs | 5,405 | 5,414 | 5,524 | 5,527 | 6,096 | 5,753 | 5,445 | 5,937 | 5,986 | 5,798 | 6,101 | 5,756 | 68,742 |
| 4520 Parking Lot Repairs | 6,375 | 6,283 | 5,807 | 5,800 | 5,781 | 5,952 | 6,051 | 6,350 | 5,896 | 5,812 | 6,411 | 6,162 | 72,680 |
| 4530 Signage | 3,808 | 4,200 | 4,208 | 4,318 | 4,077 | 3,931 | 3,794 | 4,124 | 4,050 | 4,121 | 4,195 | 3,965 | 48,791 |
| 4540 Tenant Improvements | 1,304 | 1,221 | 1,249 | 1,217 | 1,310 | 1,347 | 1,353 | 1,383 | 1,246 | 1,353 | 1,303 | 1,259 | 15,545 |
| 4550 Leasing Commissions | 3,278 | 3,544 | 3,450 | 3,484 | 3,529 | 3,251 | 3,557 | 3,271 | 3,390 | 3,408 | 3,591 | 3,301 | 41,054 |
| 4000 Gross Potential Rent | 64,531 | 65,129 | 63,250 | 65,003 | 66,832 | 60,300 | 61,129 | 62,145 | 60,502 | 67,655 | 65,507 | 65,036 | 767,018 |
| 4010 Loss to Lease | 35,709 | 34,871 | 36,214 | 37,085 | 35,717 | 36,980 | 34,170 | 33,935 | 34,075 | 36,159 | 35,917 | 33,754 | 424,586 |
| 4020 Vacancy Loss | 32,928 | 33,981 | 32,459 | 33,330 | 31,943 | 33,224 | 33,877 | 32,419 | 31,626 | 32,048 | 32,637 | 34,447 | 394,919 |
| 4030 Concessions | 34,809 | 38,219 | 34,128 | 35,501 | 38,600 | 33,666 | 35,715 | 38,222 | 37,722 | 37,062 | 36,632 | 33,687 | 433,962 |
| 4040 Bad Debt | 37,718 | 37,887 | 38,438 | 41,229 | 37,492 | 38,291 | 40,702 | 41,951 | 41,603 | 37,957 | 39,276 | 37,632 | 470,176 |
| 4050 Late Fees | 6,939 | 6,918 | 7,183 | 6,996 | 6,807 | 7,171 | 7,537 | 7,453 | 7,378 | 6,947 | 6,764 | 6,853 | 84,946 |
| 4060 Utility Reimbursements | 29,239 | 26,164 | 25,897 | 27,260 | 26,233 | 27,668 | 26,101 | 27,343 | 26,297 | 27,970 | 26,070 | 27,913 | 324,154 |
| 4070 Parking Income | 16,899 | 18,476 | 18,679 | 17,397 | 18,493 | 17,880 | 18,502 | 18,764 | 17,253 | 18,985 | 17,248 | 18,059 | 216,635 |
| 4080 Application Fees | 49,747 | 45,793 | 48,039 | 46,089 | 48,220 | 46,329 | 49,172 | 45,392 | 47,740 | 47,070 | 48,748 | 48,705 | 571,044 |
| 4090 Pet Rent | 25,541 | 25,239 | 27,562 | 27,856 | 24,643 | 26,915 | 25,990 | 26,986 | 26,036 | 25,200 | 26,626 | 25,909 | 314,503 |
| 4100 Laundry Income | 12,598 | 12,140 | 12,504 | 11,849 | 13,280 | 11,993 | 12,154 | 12,547 | 11,704 | 12,489 | 12,042 | 12,641 | 147,940 |
| 4110 Cable/Internet Revenue | 47,833 | 47,801 | 51,128 | 50,087 | 46,776 | 50,486 | 47,126 | 47,780 | 48,206 | 47,719 | 48,019 | 44,868 | 577,828 |
| 4120 CAM Reimbursements | 12,387 | 12,451 | 13,039 | 12,810 | 12,200 | 13,120 | 13,292 | 12,188 | 11,845 | 12,979 | 12,144 | 12,953 | 151,408 |
| 4130 Tax Reimbursements | 20,805 | 23,326 | 22,384 | 22,142 | 21,418 | 23,490 | 23,400 | 22,369 | 22,121 | 21,860 | 23,666 | 22,606 | 269,587 |
| 4140 Insurance Reimbursemen | 1,687 | 1,767 | 1,868 | 1,750 | 1,702 | 1,818 | 1,677 | 1,772 | 1,718 | 1,688 | 1,752 | 1,677 | 20,875 |
| 4150 Percentage Rent | 48,901 | 43,026 | 46,315 | 47,910 | 45,901 | 47,881 | 49,032 | 44,310 | 46,667 | 48,188 | 44,807 | 45,816 | 558,755 |
| 4160 Misc. Income | 44,846 | 42,778 | 43,902 | 42,244 | 40,344 | 40,638 | 41,776 | 42,622 | 40,576 | 40,127 | 41,295 | 44,877 | 506,025 |
| 4170 Payroll - Management | 4,671 | 4,618 | 4,834 | 4,833 | 4,809 | 5,221 | 5,009 | 4,817 | 5,152 | 4,764 | 4,641 | 5,044 | 58,413 |
| 4180 Payroll - Leasing | 3,680 | 3,666 | 3,496 | 3,884 | 3,500 | 3,577 | 3,800 | 3,923 | 3,923 | 3,852 | 3,839 | 3,985 | 45,127 |
| 4190 Payroll - Maintenance | 5,769 | 5,430 | 5,574 | 5,175 | 5,132 | 5,638 | 5,171 | 5,333 | 5,327 | 5,562 | 5,586 | 5,441 | 65,139 |
| 4200 Payroll Taxes & Benefits | 4,539 | 4,958 | 5,070 | 4,795 | 4,666 | 5,086 | 5,021 | 5,015 | 5,065 | 4,720 | 4,517 | 5,079 | 58,531 |
| 4210 Repairs - Plumbing | 7,045 | 6,403 | 6,769 | 7,087 | 7,093 | 7,179 | 6,427 | 6,517 | 7,009 | 6,616 | 6,797 | 7,174 | 82,116 |
| 4220 Repairs - HVAC | 5,222 | 5,112 | 5,249 | 5,387 | 5,158 | 5,239 | 5,355 | 5,118 | 5,298 | 5,599 | 5,084 | 5,692 | 63,513 |
| 4230 Repairs - Electrical | 5,046 | 4,922 | 4,778 | 4,500 | 4,514 | 5,018 | 4,780 | 4,623 | 4,569 | 4,720 | 4,446 | 4,813 | 56,730 |
| 4240 Repairs - Appliances | 3,578 | 3,853 | 4,016 | 4,042 | 3,933 | 3,695 | 3,661 | 3,768 | 3,627 | 4,036 | 3,672 | 3,791 | 45,672 |
| 4250 Painting & Decorating | 6,475 | 6,716 | 7,001 | 7,123 | 6,945 | 6,808 | 6,822 | 6,197 | 7,034 | 7,110 | 6,883 | 6,418 | 81,532 |
| 4260 Flooring | 5,175 | 5,198 | 4,713 | 5,034 | 5,148 | 4,907 | 4,947 | 5,012 | 5,017 | 5,030 | 4,786 | 4,955 | 59,923 |
| 4270 Make-Ready / Turnover | 6,091 | 5,755 | 6,162 | 5,920 | 5,863 | 6,450 | 6,182 | 5,751 | 5,769 | 6,022 | 6,465 | 6,306 | 72,737 |
| 4280 Landscaping Contract | 1,972 | 1,933 | 1,960 | 2,022 | 2,186 | 2,097 | 2,093 | 2,017 | 2,131 | 2,193 | 2,058 | 2,076 | 24,736 |
| 4290 Snow Removal | 4,456 | 4,848 | 4,303 | 4,806 | 4,473 | 4,895 | 4,586 | 4,329 | 4,471 | 4,622 | 4,271 | 4,360 | 54,420 |
| 4300 Janitorial | 3,550 | 3,687 | 3,616 | 3,772 | 3,665 | 3,624 | 3,523 | 3,746 | 3,845 | 3,799 | 3,726 | 3,521 | 44,073 |
| 4310 Pest Control | 768 | 710 | 718 | 780 | 707 | 716 | 694 | 732 | 761 | 704 | 725 | 712 | 8,726 |
| 4320 Trash Removal | 7,214 | 6,982 | 7,214 | 7,025 | 7,242 | 7,467 | 6,997 | 7,459 | 6,778 | 6,665 | 7,193 | 7,016 | 85,252 |
| 4330 Elevator Contract | 2,936 | 2,814 | 2,931 | 2,929 | 3,125 | 2,981 | 3,130 | 3,172 | 2,800 | 3,007 | 2,898 | 3,145 | 35,868 |
| 4340 Fire & Life Safety | 7,842 | 7,636 | 7,571 | 7,373 | 7,564 | 7,196 | 7,225 | 7,888 | 7,912 | 7,362 | 7,116 | 7,237 | 89,923 |
| 4350 Security | 1,847 | 1,875 | 2,024 | 1,957 | 2,002 | 1,844 | 1,848 | 1,917 | 1,889 | 1,854 | 2,002 | 1,808 | 22,866 |

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## Operating Performance

Operating expenses totaled $373,000 or approximately 26.96 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $320,000, representing a 7.9% increase over the prior year. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Physical occupancy is 92.2% and the average in-place rent is $156 per unit per month. Management fees are calculated at 6.9% of collected revenue and are included in operating expenses. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period.

## Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Physical occupancy is 89.5% and the average in-place rent is $156 per unit per month. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Service requests are tracked through a work-order system with an average completion time of 21 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 15th business day. Physical occupancy is 89.6% and the average in-place rent is $156 per unit per month. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 14 additional team members. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

## Financial Analysis

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Net operating income is projected to grow at a compound annual rate of 4.6% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Effective gross income for the trailing period was $57,000, representing a 11.3% increase over the prior year.

Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Management fees are calculated at 6.5% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $423,000, representing a 8.6% increase over the prior year. Physical occupancy is 92.2% and the average in-place rent is $156 per unit per month. Debt service coverage ratio was 5.83x on a trailing basis against a covenant minimum of 1.20x.

## Leasing and Marketing

Physical occupancy is 92.6% and the average in-place rent is $156 per unit per month. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 34th business day. Collections for the period were 90.2% of billed charges, with bad debt of 7.4% of gross potential income.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members. Collections for the period were 95.6% of billed charges, with bad debt of 5.4% of gross potential income. Physical occupancy is 88.2% and the average in-place rent is $156 per unit per month.

## Income and Expense Review

Physical occupancy is 95.9% and the average in-place rent is $156 per unit per month. The going-in capitalization rate of 7.46% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Effective gross income for the trailing period was $100,000, representing a 10.9% increase over the prior year. Management fees are calculated at 5.2% of collected revenue and are included in operating expenses.

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## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4340 Fire & Life Safety | 673 | 708 | 698 | 667 | 673 | 690 | 662 | 687 | 712 | 657 | 634 | 700 | 8,160 |
| 4350 Security | 2,279 | 2,321 | 2,252 | 2,280 | 2,418 | 2,420 | 2,294 | 2,247 | 2,128 | 2,268 | 2,311 | 2,333 | 27,552 |
| 4360 Electricity - Common | 3,918 | 4,170 | 4,285 | 4,175 | 4,307 | 3,886 | 4,229 | 4,094 | 4,002 | 3,969 | 4,064 | 4,410 | 49,508 |
| 4370 Gas - Common | 1,532 | 1,611 | 1,563 | 1,544 | 1,636 | 1,727 | 1,726 | 1,643 | 1,574 | 1,578 | 1,665 | 1,595 | 19,394 |
| 4380 Water & Sewer | 7,578 | 7,718 | 7,727 | 7,069 | 7,168 | 7,675 | 6,969 | 7,322 | 6,998 | 6,974 | 6,912 | 7,457 | 87,567 |
| 4390 Telephone/Internet | 813 | 849 | 859 | 899 | 880 | 802 | 852 | 913 | 901 | 879 | 849 | 910 | 10,405 |
| 4400 Advertising | 1,372 | 1,379 | 1,271 | 1,307 | 1,329 | 1,231 | 1,346 | 1,343 | 1,257 | 1,278 | 1,376 | 1,284 | 15,774 |
| 4410 Resident Events | 7,042 | 7,237 | 7,278 | 7,168 | 7,239 | 7,368 | 7,252 | 6,620 | 7,390 | 7,332 | 7,170 | 7,268 | 86,363 |
| 4420 Office Supplies | 6,821 | 6,798 | 6,911 | 6,816 | 6,694 | 7,209 | 6,718 | 6,958 | 7,303 | 6,626 | 6,653 | 6,870 | 82,377 |
| 4430 Legal & Professional | 1,268 | 1,386 | 1,248 | 1,269 | 1,254 | 1,281 | 1,321 | 1,252 | 1,318 | 1,330 | 1,256 | 1,254 | 15,439 |
| 4440 Accounting & Audit | 7,667 | 7,935 | 7,668 | 7,087 | 7,876 | 7,009 | 7,215 | 6,978 | 7,418 | 7,181 | 7,382 | 7,373 | 88,788 |
| 4450 Licenses & Permits | 7,035 | 6,879 | 6,844 | 6,954 | 7,227 | 6,794 | 6,914 | 7,147 | 7,039 | 6,942 | 7,291 | 6,641 | 83,708 |
| 4460 Management Fee | 2,516 | 2,391 | 2,663 | 2,663 | 2,650 | 2,727 | 2,631 | 2,608 | 2,476 | 2,589 | 2,732 | 2,614 | 31,261 |
| 4470 Property Insurance | 3,062 | 3,361 | 3,116 | 3,222 | 3,142 | 3,189 | 3,301 | 3,233 | 3,027 | 3,330 | 3,038 | 3,181 | 38,202 |
| 4480 Real Estate Taxes | 7,130 | 6,861 | 6,735 | 6,591 | 7,102 | 6,847 | 6,534 | 6,879 | 6,382 | 6,971 | 6,621 | 6,975 | 81,628 |
| 4490 Asset Management Fee | 720 | 733 | 723 | 668 | 740 | 654 | 658 | 709 | 709 | 676 | 649 | 699 | 8,340 |
| 4500 Replacement Reserves | 6,658 | 6,618 | 6,950 | 6,943 | 6,437 | 6,465 | 6,772 | 6,232 | 6,250 | 6,385 | 6,756 | 6,302 | 78,769 |
| 4510 Roof Repairs | 897 | 912 | 936 | 998 | 937 | 956 | 932 | 904 | 915 | 937 | 989 | 925 | 11,238 |
| 4520 Parking Lot Repairs | 5,339 | 5,278 | 5,676 | 5,371 | 5,318 | 5,205 | 5,565 | 5,354 | 5,207 | 5,503 | 5,322 | 5,370 | 64,507 |
| 4530 Signage | 3,236 | 3,266 | 3,345 | 3,304 | 3,264 | 3,677 | 3,274 | 3,677 | 3,637 | 3,459 | 3,267 | 3,259 | 40,665 |
| 4540 Tenant Improvements | 2,707 | 2,737 | 2,558 | 2,612 | 2,501 | 2,487 | 2,658 | 2,660 | 2,776 | 2,682 | 2,689 | 2,613 | 31,680 |
| 4550 Leasing Commissions | 1,895 | 2,119 | 2,099 | 2,129 | 1,963 | 1,934 | 2,146 | 2,164 | 2,055 | 2,063 | 2,025 | 1,891 | 24,484 |
| 4000 Gross Potential Rent | 61,399 | 65,354 | 63,286 | 60,040 | 61,578 | 61,750 | 60,896 | 66,737 | 60,576 | 64,750 | 65,857 | 61,134 | 753,358 |
| 4010 Loss to Lease | 6,585 | 6,620 | 6,697 | 6,575 | 6,973 | 6,574 | 7,040 | 6,777 | 7,535 | 6,972 | 7,540 | 6,586 | 82,476 |
| 4020 Vacancy Loss | 55,855 | 57,461 | 54,067 | 56,624 | 55,885 | 53,893 | 57,396 | 53,844 | 55,131 | 55,074 | 53,713 | 52,377 | 661,321 |
| 4030 Concessions | 14,938 | 15,701 | 14,265 | 15,452 | 14,476 | 15,639 | 15,195 | 15,645 | 14,688 | 15,632 | 14,212 | 15,377 | 181,219 |
| 4040 Bad Debt | 23,287 | 22,565 | 22,346 | 22,955 | 23,681 | 23,939 | 24,854 | 22,244 | 24,756 | 24,985 | 24,312 | 23,727 | 283,651 |
| 4050 Late Fees | 11,873 | 11,130 | 11,541 | 11,452 | 11,173 | 10,865 | 11,073 | 11,676 | 10,891 | 12,169 | 12,177 | 11,753 | 137,772 |
| 4060 Utility Reimbursements | 1,838 | 1,728 | 1,777 | 1,725 | 1,752 | 1,808 | 1,849 | 1,806 | 1,935 | 1,897 | 1,692 | 1,908 | 21,715 |
| 4070 Parking Income | 51,010 | 45,653 | 48,327 | 50,019 | 49,959 | 48,620 | 47,900 | 47,889 | 48,675 | 51,450 | 44,818 | 47,589 | 581,910 |
| 4080 Application Fees | 9,324 | 8,546 | 9,503 | 8,634 | 8,573 | 8,911 | 9,045 | 8,999 | 8,692 | 9,349 | 8,832 | 9,570 | 107,977 |
| 4090 Pet Rent | 3,878 | 3,786 | 3,889 | 4,147 | 4,001 | 4,262 | 4,082 | 3,763 | 3,982 | 3,993 | 4,231 | 4,008 | 48,022 |
| 4100 Laundry Income | 29,788 | 27,678 | 29,266 | 28,710 | 30,878 | 30,112 | 28,923 | 29,862 | 29,512 | 30,220 | 29,385 | 27,558 | 351,894 |
| 4110 Cable/Internet Revenue | 27,474 | 25,709 | 28,724 | 27,892 | 26,764 | 26,023 | 25,560 | 28,392 | 27,384 | 25,051 | 26,012 | 26,971 | 321,956 |
| 4120 CAM Reimbursements | 16,614 | 18,890 | 16,846 | 18,743 | 18,319 | 18,738 | 18,730 | 17,116 | 18,033 | 18,133 | 18,654 | 17,375 | 216,190 |
| 4130 Tax Reimbursements | 46,832 | 48,426 | 48,276 | 49,035 | 45,161 | 50,041 | 48,444 | 49,869 | 49,056 | 45,876 | 44,860 | 50,717 | 576,594 |
| 4140 Insurance Reimbursemen | 39,240 | 42,448 | 42,831 | 42,073 | 38,972 | 38,781 | 37,984 | 41,317 | 41,871 | 39,701 | 42,511 | 42,326 | 490,055 |
| 4150 Percentage Rent | 15,450 | 14,830 | 14,381 | 14,458 | 15,121 | 14,664 | 14,008 | 13,798 | 14,483 | 14,485 | 14,110 | 15,331 | 175,119 |
| 4160 Misc. Income | 2,277 | 2,146 | 2,185 | 2,246 | 2,068 | 2,310 | 2,061 | 2,278 | 2,204 | 2,348 | 2,058 | 2,284 | 26,464 |
| 4170 Payroll - Management | 7,298 | 7,842 | 7,601 | 7,407 | 7,555 | 7,737 | 7,856 | 7,288 | 7,657 | 8,003 | 7,583 | 7,337 | 91,164 |
| 4180 Payroll - Leasing | 6,356 | 6,102 | 6,211 | 6,185 | 6,237 | 6,031 | 6,200 | 5,816 | 6,334 | 6,029 | 6,514 | 6,260 | 74,274 |
| 4190 Payroll - Maintenance | 7,021 | 6,940 | 7,754 | 7,269 | 6,990 | 7,491 | 7,577 | 7,211 | 7,022 | 6,742 | 7,657 | 7,426 | 87,100 |
| 4200 Payroll Taxes & Benefits | 1,982 | 2,065 | 2,076 | 1,894 | 2,043 | 2,129 | 2,154 | 1,942 | 1,899 | 2,012 | 1,958 | 1,895 | 24,049 |
| 4210 Repairs - Plumbing | 4,355 | 4,518 | 4,346 | 4,825 | 4,455 | 4,886 | 4,780 | 4,606 | 4,568 | 4,592 | 4,469 | 4,840 | 55,239 |
| 4220 Repairs - HVAC | 2,528 | 2,626 | 2,424 | 2,726 | 2,761 | 2,644 | 2,637 | 2,432 | 2,496 | 2,757 | 2,650 | 2,588 | 31,267 |

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## Financial Analysis

Debt service coverage ratio was 7.09x on a trailing basis against a covenant minimum of 1.20x. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Operating expenses totaled $368,000 or approximately 26.54 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $230,000, representing a 5.8% increase over the prior year. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses. Physical occupancy is 95.4% and the average in-place rent is $156 per unit per month. The going-in capitalization rate of 5.23% reflects the in-place income and the stabilized occupancy assumption. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

## Leasing and Marketing

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 11 additional team members. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The manager completes a monthly walk of the property and submits a variance report to the owner by the 46th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Physical occupancy is 88.9% and the average in-place rent is $156 per unit per month. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Service requests are tracked through a work-order system with an average completion time of 30 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 7th business day.

## Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 5.3% over the hold period. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Physical occupancy is 92.5% and the average in-place rent is $156 per unit per month. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. Operating expenses totaled $45,000 or approximately 30.50 per square foot, with real estate taxes representing the largest line item.

Debt service coverage ratio was 5.68x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.27% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Operating expenses totaled $183,000 or approximately 7.20 per square foot, with real estate taxes representing the largest line item.

## Management Commentary

The manager completes a monthly walk of the property and submits a variance report to the owner by the 19th business day. Service requests are tracked through a work-order system with an average completion time of 12 hours. Physical occupancy is 95.6% and the average in-place rent is $156 per unit per month. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. Collections for the period were 94.8% of billed charges, with bad debt of 4.1% of gross potential income.

## Operating Performance

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## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4260 Flooring | 2,214 | 2,206 | 2,350 | 2,271 | 2,190 | 2,361 | 2,199 | 2,332 | 2,269 | 2,326 | 2,072 | 2,158 | 26,947 |
| 4270 Make-Ready / Turnover | 2,010 | 1,940 | 1,913 | 2,030 | 1,914 | 2,020 | 1,858 | 2,055 | 1,880 | 1,840 | 2,023 | 1,841 | 23,323 |
| 4280 Landscaping Contract | 5,051 | 5,506 | 5,431 | 5,362 | 5,740 | 5,286 | 5,741 | 5,758 | 5,297 | 5,248 | 5,714 | 5,031 | 65,165 |
| 4290 Snow Removal | 4,388 | 4,349 | 4,835 | 4,558 | 4,422 | 4,982 | 4,913 | 4,465 | 4,996 | 4,742 | 4,831 | 4,900 | 56,381 |
| 4300 Janitorial | 7,275 | 6,924 | 6,666 | 6,663 | 7,422 | 6,586 | 7,005 | 7,205 | 6,920 | 7,076 | 7,326 | 6,617 | 83,686 |
| 4310 Pest Control | 3,151 | 3,036 | 3,200 | 3,174 | 3,163 | 3,056 | 2,967 | 3,143 | 3,400 | 3,324 | 3,043 | 3,152 | 37,810 |
| 4320 Trash Removal | 1,124 | 1,093 | 1,097 | 1,000 | 1,106 | 1,035 | 1,054 | 1,031 | 1,048 | 985 | 1,113 | 1,100 | 12,786 |
| 4330 Elevator Contract | 1,108 | 1,057 | 1,008 | 983 | 1,070 | 1,022 | 986 | 1,026 | 1,079 | 1,024 | 1,024 | 1,050 | 12,437 |
| 4340 Fire & Life Safety | 2,543 | 2,565 | 2,729 | 2,800 | 2,528 | 2,559 | 2,524 | 2,501 | 2,779 | 2,672 | 2,618 | 2,498 | 31,317 |
| 4350 Security | 4,987 | 4,912 | 5,027 | 5,273 | 4,851 | 5,199 | 5,254 | 5,197 | 5,234 | 5,129 | 5,239 | 4,646 | 60,947 |
| 4360 Electricity - Common | 6,346 | 6,183 | 5,766 | 6,494 | 6,492 | 6,290 | 6,396 | 6,592 | 5,826 | 6,434 | 6,328 | 6,023 | 75,171 |
| 4370 Gas - Common | 2,621 | 2,326 | 2,440 | 2,524 | 2,607 | 2,399 | 2,562 | 2,430 | 2,434 | 2,375 | 2,557 | 2,321 | 29,596 |
| 4380 Water & Sewer | 3,090 | 3,263 | 3,047 | 2,943 | 3,107 | 3,252 | 3,293 | 3,179 | 3,321 | 2,986 | 2,935 | 2,954 | 37,368 |
| 4390 Telephone/Internet | 6,382 | 6,449 | 6,222 | 5,652 | 5,960 | 6,030 | 5,756 | 5,899 | 6,428 | 5,782 | 6,374 | 5,894 | 72,826 |
| 4400 Advertising | 2,686 | 2,505 | 2,694 | 2,593 | 2,539 | 2,799 | 2,630 | 2,570 | 2,673 | 2,780 | 2,589 | 2,586 | 31,644 |
| 4410 Resident Events | 2,622 | 2,451 | 2,522 | 2,728 | 2,725 | 2,669 | 2,731 | 2,592 | 2,604 | 2,567 | 2,663 | 2,488 | 31,361 |
| 4420 Office Supplies | 5,730 | 6,247 | 5,893 | 5,603 | 5,830 | 6,369 | 5,586 | 6,361 | 6,123 | 6,099 | 6,071 | 6,170 | 72,083 |
| 4430 Legal & Professional | 2,152 | 2,131 | 1,987 | 1,963 | 2,196 | 2,072 | 1,992 | 2,212 | 1,996 | 2,219 | 2,100 | 2,030 | 25,052 |
| 4440 Accounting & Audit | 3,815 | 4,008 | 3,740 | 3,981 | 3,667 | 3,880 | 3,973 | 3,538 | 3,932 | 3,846 | 3,965 | 3,565 | 45,909 |
| 4450 Licenses & Permits | 5,545 | 5,743 | 5,581 | 5,454 | 5,154 | 5,790 | 5,400 | 5,440 | 5,598 | 5,244 | 5,368 | 5,280 | 65,597 |
| 4460 Management Fee | 5,716 | 6,087 | 5,692 | 5,786 | 6,182 | 6,294 | 5,599 | 5,763 | 5,695 | 6,142 | 6,277 | 5,887 | 71,119 |
| 4470 Property Insurance | 1,899 | 1,810 | 1,997 | 1,776 | 1,873 | 1,938 | 1,776 | 1,785 | 1,952 | 1,861 | 1,811 | 1,936 | 22,413 |
| 4480 Real Estate Taxes | 6,024 | 5,816 | 6,143 | 5,956 | 5,957 | 5,912 | 5,938 | 6,075 | 6,417 | 5,761 | 5,693 | 6,257 | 71,949 |
| 4490 Asset Management Fee | 7,125 | 7,146 | 7,285 | 6,684 | 7,296 | 6,705 | 7,036 | 7,192 | 6,570 | 6,951 | 6,709 | 6,428 | 83,129 |
| 4500 Replacement Reserves | 4,574 | 4,900 | 4,382 | 4,496 | 4,311 | 4,502 | 4,351 | 4,693 | 4,850 | 4,706 | 4,402 | 4,339 | 54,508 |
| 4510 Roof Repairs | 2,368 | 2,314 | 2,160 | 2,257 | 2,343 | 2,155 | 2,109 | 2,335 | 2,177 | 2,368 | 2,237 | 2,215 | 27,037 |
| 4520 Parking Lot Repairs | 3,183 | 3,298 | 2,887 | 3,103 | 3,316 | 3,013 | 3,151 | 3,012 | 3,068 | 3,067 | 3,084 | 3,256 | 37,438 |
| 4530 Signage | 3,062 | 3,352 | 3,225 | 3,157 | 3,309 | 3,346 | 3,361 | 3,356 | 3,089 | 3,036 | 3,157 | 3,027 | 38,478 |
| 4540 Tenant Improvements | 5,203 | 4,874 | 4,890 | 4,678 | 4,983 | 5,247 | 5,237 | 4,603 | 5,088 | 5,092 | 4,661 | 4,840 | 59,397 |
| 4550 Leasing Commissions | 965 | 982 | 1,024 | 933 | 1,004 | 1,025 | 977 | 969 | 961 | 922 | 1,027 | 921 | 11,710 |
| 4000 Gross Potential Rent | 62,886 | 63,276 | 60,878 | 61,851 | 66,538 | 61,333 | 68,226 | 61,722 | 62,111 | 67,979 | 62,668 | 64,154 | 763,621 |
| 4010 Loss to Lease | 21,425 | 21,252 | 21,459 | 21,596 | 22,046 | 20,478 | 20,090 | 22,343 | 22,348 | 22,529 | 22,301 | 21,610 | 259,478 |
| 4020 Vacancy Loss | 15,278 | 14,099 | 14,126 | 14,867 | 14,827 | 15,652 | 16,121 | 15,332 | 15,430 | 14,157 | 14,657 | 14,576 | 179,121 |
| 4030 Concessions | 30,348 | 32,954 | 31,846 | 32,639 | 32,304 | 32,910 | 33,517 | 31,317 | 33,965 | 31,359 | 32,733 | 32,645 | 388,536 |
| 4040 Bad Debt | 14,261 | 13,172 | 12,836 | 13,729 | 14,141 | 14,341 | 12,762 | 13,570 | 13,182 | 13,536 | 13,092 | 12,623 | 161,246 |
| 4050 Late Fees | 15,007 | 16,934 | 16,442 | 15,963 | 15,788 | 16,377 | 16,237 | 15,480 | 14,886 | 16,201 | 15,286 | 16,832 | 191,433 |
| 4060 Utility Reimbursements | 48,130 | 47,382 | 46,291 | 45,668 | 48,143 | 44,027 | 43,770 | 47,135 | 48,412 | 47,031 | 49,180 | 47,265 | 562,434 |
| 4070 Parking Income | 26,920 | 26,228 | 25,906 | 27,186 | 28,639 | 27,129 | 25,298 | 25,400 | 28,677 | 28,412 | 27,175 | 27,732 | 324,703 |
| 4080 Application Fees | 35,899 | 35,283 | 35,654 | 33,992 | 36,970 | 34,803 | 33,198 | 32,779 | 35,989 | 36,381 | 36,516 | 34,301 | 421,764 |
| 4090 Pet Rent | 56,027 | 53,934 | 57,045 | 52,326 | 55,193 | 54,546 | 54,654 | 54,849 | 54,313 | 52,880 | 56,153 | 59,105 | 661,024 |
| 4100 Laundry Income | 3,906 | 4,068 | 4,109 | 4,223 | 3,832 | 4,003 | 4,097 | 3,820 | 4,030 | 3,895 | 4,216 | 4,223 | 48,422 |
| 4110 Cable/Internet Revenue | 39,766 | 38,738 | 41,094 | 39,348 | 39,564 | 38,691 | 38,477 | 41,991 | 41,859 | 37,831 | 38,158 | 37,612 | 473,128 |
| 4120 CAM Reimbursements | 15,927 | 16,520 | 16,023 | 17,189 | 17,851 | 17,277 | 15,994 | 17,403 | 15,847 | 16,849 | 16,284 | 16,466 | 199,630 |
| 4130 Tax Reimbursements | 37,224 | 36,375 | 34,723 | 35,277 | 35,371 | 33,481 | 33,627 | 34,418 | 34,004 | 34,320 | 35,478 | 37,410 | 421,710 |
| 4140 Insurance Reimbursemen | 33,793 | 33,763 | 30,864 | 32,518 | 32,979 | 34,315 | 30,853 | 33,866 | 33,748 | 32,169 | 31,114 | 33,246 | 393,228 |
| 4150 Percentage Rent | 35,313 | 34,714 | 34,861 | 36,775 | 34,665 | 33,296 | 36,537 | 36,934 | 32,902 | 36,099 | 36,885 | 36,505 | 425,487 |

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## Operating Performance

Operating expenses totaled $248,000 or approximately 34.20 per square foot, with real estate taxes representing the largest line item. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period. Effective gross income for the trailing period was $278,000, representing a 6.0% increase over the prior year.

Effective gross income for the trailing period was $296,000, representing a 2.7% increase over the prior year. Physical occupancy is 91.8% and the average in-place rent is $156 per unit per month. The going-in capitalization rate of 8.03% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.61x on a trailing basis against a covenant minimum of 1.20x.

## Management Commentary

Physical occupancy is 89.7% and the average in-place rent is $156 per unit per month. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Service requests are tracked through a work-order system with an average completion time of 3 hours. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Physical occupancy is 88.4% and the average in-place rent is $156 per unit per month. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

## Financial Analysis

Debt service coverage ratio was 7.67x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $114,000 or approximately 9.44 per square foot, with real estate taxes representing the largest line item. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Net operating income is projected to grow at a compound annual rate of 6.3% over the hold period.

Net operating income is projected to grow at a compound annual rate of 4.9% over the hold period. Effective gross income for the trailing period was $298,000, representing a 7.3% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.20% reflects the in-place income and the stabilized occupancy assumption.

## Leasing and Marketing

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Physical occupancy is 95.7% and the average in-place rent is $156 per unit per month. Service requests are tracked through a work-order system with an average completion time of 32 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 29 additional team members. Collections for the period were 95.2% of billed charges, with bad debt of 6.8% of gross potential income.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 95.7% of billed charges, with bad debt of 6.2% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 41 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 17th business day. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Physical occupancy is 95.6% and the average in-place rent is $156 per unit per month.

## Operating Performance

The going-in capitalization rate of 7.82% reflects the in-place income and the stabilized occupancy assumption. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Effective gross income for the trailing period was $198,000, representing a 11.6% increase over the prior year. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Management fees are calculated at 6.9% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period.

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## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4080 Application Fees | 29,276 | 31,968 | 29,539 | 29,025 | 29,508 | 31,096 | 29,860 | 28,225 | 28,198 | 29,508 | 28,180 | 30,580 | 354,962 |
| 4090 Pet Rent | 47,231 | 45,926 | 50,531 | 50,876 | 45,355 | 47,601 | 47,672 | 50,373 | 49,078 | 48,331 | 45,445 | 44,928 | 573,347 |
| 4100 Laundry Income | 11,704 | 10,786 | 11,497 | 11,512 | 11,084 | 11,157 | 10,666 | 10,860 | 10,882 | 10,308 | 11,678 | 11,614 | 133,749 |
| 4110 Cable/Internet Revenue | 14,005 | 13,453 | 13,537 | 13,159 | 13,981 | 14,167 | 13,729 | 13,006 | 12,732 | 13,894 | 14,220 | 12,872 | 162,754 |
| 4120 CAM Reimbursements | 13,329 | 13,984 | 14,124 | 12,392 | 12,693 | 14,047 | 12,961 | 13,506 | 12,592 | 12,510 | 12,668 | 12,739 | 157,546 |
| 4130 Tax Reimbursements | 13,929 | 13,503 | 13,399 | 12,507 | 12,252 | 13,576 | 13,384 | 12,931 | 13,763 | 13,368 | 12,992 | 12,340 | 157,944 |
| 4140 Insurance Reimbursemen | 11,173 | 11,002 | 11,303 | 12,298 | 12,036 | 10,920 | 11,309 | 12,230 | 11,295 | 12,345 | 11,026 | 12,524 | 139,463 |
| 4150 Percentage Rent | 27,353 | 28,259 | 27,259 | 28,322 | 28,081 | 30,859 | 30,241 | 28,354 | 27,589 | 29,927 | 29,765 | 28,030 | 344,039 |
| 4160 Misc. Income | 30,727 | 32,459 | 29,236 | 30,099 | 29,489 | 29,922 | 29,236 | 28,520 | 29,250 | 32,169 | 32,214 | 31,260 | 364,579 |
| 4170 Payroll - Management | 808 | 865 | 756 | 802 | 761 | 764 | 853 | 863 | 795 | 791 | 756 | 776 | 9,593 |
| 4180 Payroll - Leasing | 7,285 | 7,202 | 6,765 | 7,196 | 7,027 | 7,564 | 7,071 | 6,782 | 7,624 | 6,826 | 7,452 | 7,130 | 85,924 |
| 4190 Payroll - Maintenance | 2,272 | 2,232 | 2,420 | 2,432 | 2,476 | 2,363 | 2,329 | 2,285 | 2,251 | 2,210 | 2,289 | 2,260 | 27,818 |
| 4200 Payroll Taxes & Benefits | 6,496 | 6,096 | 5,883 | 6,585 | 6,468 | 6,702 | 6,322 | 6,259 | 6,230 | 6,117 | 6,099 | 5,889 | 75,147 |
| 4210 Repairs - Plumbing | 6,374 | 6,440 | 6,335 | 6,244 | 5,882 | 6,333 | 6,327 | 5,770 | 6,467 | 5,768 | 6,269 | 5,976 | 74,185 |
| 4220 Repairs - HVAC | 6,442 | 6,049 | 5,818 | 6,062 | 6,407 | 5,818 | 5,807 | 6,478 | 5,809 | 6,387 | 6,013 | 6,443 | 73,533 |
| 4230 Repairs - Electrical | 4,577 | 4,877 | 4,552 | 4,890 | 4,809 | 4,819 | 4,891 | 4,831 | 4,951 | 4,480 | 5,036 | 4,446 | 57,158 |
| 4240 Repairs - Appliances | 5,272 | 5,267 | 4,866 | 5,057 | 4,914 | 5,223 | 4,941 | 5,141 | 4,696 | 5,042 | 4,679 | 4,752 | 59,850 |
| 4250 Painting & Decorating | 3,606 | 3,883 | 3,627 | 3,414 | 3,462 | 3,620 | 3,732 | 3,457 | 3,645 | 3,504 | 3,740 | 3,507 | 43,196 |
| 4260 Flooring | 5,268 | 5,086 | 4,749 | 4,761 | 5,126 | 5,082 | 4,679 | 4,887 | 5,242 | 4,931 | 4,763 | 4,802 | 59,378 |
| 4270 Make-Ready / Turnover | 6,297 | 6,272 | 6,218 | 6,487 | 6,598 | 6,637 | 6,483 | 6,641 | 6,280 | 6,605 | 6,625 | 6,817 | 77,960 |
| 4280 Landscaping Contract | 783 | 832 | 852 | 863 | 866 | 835 | 845 | 768 | 832 | 869 | 829 | 786 | 9,959 |
| 4290 Snow Removal | 6,456 | 6,254 | 6,114 | 6,677 | 6,386 | 6,220 | 6,842 | 6,830 | 6,093 | 6,305 | 6,461 | 6,535 | 77,174 |
| 4300 Janitorial | 3,757 | 3,718 | 3,759 | 3,530 | 3,711 | 3,629 | 3,778 | 3,555 | 3,946 | 3,936 | 3,629 | 3,619 | 44,568 |
| 4310 Pest Control | 2,524 | 2,265 | 2,400 | 2,339 | 2,479 | 2,346 | 2,438 | 2,335 | 2,422 | 2,486 | 2,412 | 2,571 | 29,016 |
| 4320 Trash Removal | 5,971 | 5,940 | 6,258 | 5,984 | 5,876 | 6,500 | 5,915 | 5,933 | 5,916 | 5,777 | 5,818 | 6,017 | 71,903 |
| 4330 Elevator Contract | 5,055 | 4,958 | 4,748 | 5,090 | 4,834 | 5,083 | 5,105 | 4,764 | 5,107 | 5,030 | 5,318 | 4,861 | 59,953 |
| 4340 Fire & Life Safety | 4,162 | 4,208 | 4,445 | 4,447 | 3,905 | 4,125 | 3,999 | 4,083 | 4,278 | 4,414 | 4,327 | 4,468 | 50,861 |
| 4350 Security | 5,032 | 4,771 | 5,095 | 4,888 | 5,111 | 5,221 | 4,700 | 5,062 | 5,135 | 5,114 | 5,163 | 4,992 | 60,283 |
| 4360 Electricity - Common | 6,894 | 6,759 | 7,218 | 7,588 | 7,422 | 7,185 | 6,682 | 7,391 | 7,615 | 7,068 | 7,526 | 7,068 | 86,418 |
| 4370 Gas - Common | 2,598 | 2,829 | 2,749 | 2,624 | 2,746 | 2,767 | 2,763 | 2,818 | 2,903 | 2,888 | 2,665 | 2,857 | 33,207 |
| 4380 Water & Sewer | 3,562 | 3,364 | 3,296 | 3,196 | 3,276 | 3,567 | 3,361 | 3,616 | 3,489 | 3,218 | 3,587 | 3,250 | 40,780 |
| 4390 Telephone/Internet | 2,815 | 2,955 | 2,698 | 2,840 | 2,848 | 2,881 | 2,999 | 2,656 | 2,953 | 2,808 | 2,933 | 2,856 | 34,243 |
| 4400 Advertising | 2,977 | 3,145 | 2,915 | 3,071 | 3,029 | 3,086 | 3,163 | 2,951 | 3,101 | 3,297 | 3,207 | 3,146 | 37,087 |
| 4410 Resident Events | 5,388 | 5,795 | 5,550 | 5,617 | 5,968 | 5,646 | 5,839 | 5,378 | 5,650 | 5,572 | 5,370 | 5,844 | 67,618 |
| 4420 Office Supplies | 2,517 | 2,706 | 2,527 | 2,796 | 2,708 | 2,501 | 2,613 | 2,639 | 2,804 | 2,581 | 2,478 | 2,537 | 31,407 |
| 4430 Legal & Professional | 789 | 801 | 801 | 768 | 844 | 793 | 872 | 764 | 798 | 864 | 836 | 821 | 9,752 |
| 4440 Accounting & Audit | 3,932 | 4,116 | 3,926 | 3,711 | 3,740 | 4,077 | 4,099 | 3,770 | 4,070 | 3,634 | 3,934 | 3,791 | 46,800 |
| 4450 Licenses & Permits | 4,207 | 4,625 | 4,232 | 4,274 | 4,558 | 4,698 | 4,624 | 4,282 | 4,236 | 4,546 | 4,198 | 4,320 | 52,800 |
| 4460 Management Fee | 3,194 | 3,163 | 3,127 | 3,191 | 2,972 | 2,965 | 2,938 | 3,166 | 2,919 | 3,116 | 2,906 | 2,930 | 36,587 |
| 4470 Property Insurance | 755 | 793 | 845 | 804 | 774 | 793 | 762 | 816 | 802 | 847 | 760 | 763 | 9,513 |
| 4480 Real Estate Taxes | 6,715 | 6,857 | 6,662 | 7,083 | 7,277 | 6,726 | 7,203 | 7,259 | 6,572 | 7,362 | 6,438 | 7,258 | 83,412 |
| 4490 Asset Management Fee | 6,763 | 6,095 | 6,524 | 6,475 | 5,981 | 6,589 | 6,487 | 6,447 | 6,278 | 6,784 | 6,170 | 6,535 | 77,127 |
| 4500 Replacement Reserves | 2,372 | 2,246 | 2,350 | 2,176 | 2,446 | 2,256 | 2,393 | 2,201 | 2,412 | 2,213 | 2,478 | 2,277 | 27,820 |
| 4510 Roof Repairs | 1,256 | 1,175 | 1,203 | 1,340 | 1,228 | 1,207 | 1,319 | 1,212 | 1,204 | 1,270 | 1,242 | 1,240 | 14,898 |

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## Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 6.3% of collected revenue and are included in operating expenses. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period.

Debt service coverage ratio was 7.71x on a trailing basis against a covenant minimum of 1.20x. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The going-in capitalization rate of 6.51% reflects the in-place income and the stabilized occupancy assumption. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

## Property Operations

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 10 hours. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. The manager completes a monthly walk of the property and submits a variance report to the owner by the 20th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 41 additional team members. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

Service requests are tracked through a work-order system with an average completion time of 48 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 37th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 45 additional team members. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

## Income and Expense Review

Debt service coverage ratio was 6.88x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.50% reflects the in-place income and the stabilized occupancy assumption. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Operating expenses totaled $282,000 or approximately 40.04 per square foot, with real estate taxes representing the largest line item. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.97x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.54% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $356,000 or approximately 8.36 per square foot, with real estate taxes representing the largest line item. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

## Management Commentary

Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Physical occupancy is 92.0% and the average in-place rent is $156 per unit per month. The manager completes a monthly walk of the property and submits a variance report to the owner by the 32th business day. Service requests are tracked through a work-order system with an average completion time of 10 hours.

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Physical occupancy is 91.2% and the average in-place rent is $156 per unit per month. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 30 additional team members. Collections for the period were 92.4% of billed charges, with bad debt of 5.3% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 7 hours.

## Financial Analysis

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## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4110 Cable/Internet Revenue | 46,347 | 46,716 | 51,641 | 50,064 | 48,115 | 51,630 | 48,528 | 49,725 | 46,038 | 49,229 | 51,998 | 48,455 | 588,486 |
| 4120 CAM Reimbursements | 60,738 | 56,347 | 55,988 | 56,531 | 60,815 | 53,401 | 55,520 | 60,228 | 55,421 | 56,084 | 57,702 | 58,574 | 687,351 |
| 4130 Tax Reimbursements | 37,409 | 35,182 | 35,122 | 35,420 | 36,149 | 39,932 | 39,728 | 36,739 | 37,453 | 38,599 | 38,704 | 37,626 | 448,062 |
| 4140 Insurance Reimbursemen | 8,542 | 8,516 | 8,047 | 8,904 | 8,976 | 8,627 | 8,240 | 8,642 | 8,851 | 8,210 | 8,256 | 8,281 | 102,093 |
| 4150 Percentage Rent | 52,580 | 53,694 | 52,417 | 53,412 | 54,160 | 51,613 | 51,902 | 54,438 | 48,846 | 49,166 | 53,338 | 48,421 | 623,988 |
| 4160 Misc. Income | 56,807 | 54,955 | 53,485 | 51,740 | 51,751 | 51,217 | 51,715 | 57,366 | 55,912 | 56,193 | 55,971 | 51,147 | 648,258 |
| 4170 Payroll - Management | 2,396 | 2,687 | 2,669 | 2,741 | 2,416 | 2,656 | 2,709 | 2,411 | 2,660 | 2,619 | 2,659 | 2,644 | 31,267 |
| 4180 Payroll - Leasing | 1,142 | 1,162 | 1,132 | 1,155 | 1,274 | 1,181 | 1,264 | 1,148 | 1,137 | 1,119 | 1,152 | 1,248 | 14,114 |
| 4190 Payroll - Maintenance | 3,533 | 3,480 | 3,679 | 3,610 | 3,691 | 3,618 | 3,328 | 3,715 | 3,290 | 3,620 | 3,727 | 3,311 | 42,601 |
| 4200 Payroll Taxes & Benefits | 5,791 | 5,715 | 5,844 | 6,271 | 5,651 | 6,271 | 5,668 | 5,951 | 6,254 | 5,927 | 6,074 | 5,538 | 70,956 |
| 4210 Repairs - Plumbing | 1,335 | 1,445 | 1,507 | 1,400 | 1,363 | 1,417 | 1,468 | 1,419 | 1,396 | 1,462 | 1,382 | 1,448 | 17,041 |
| 4220 Repairs - HVAC | 1,380 | 1,392 | 1,298 | 1,325 | 1,359 | 1,344 | 1,309 | 1,263 | 1,387 | 1,416 | 1,443 | 1,260 | 16,175 |
| 4230 Repairs - Electrical | 751 | 747 | 828 | 774 | 791 | 776 | 769 | 800 | 845 | 820 | 823 | 775 | 9,499 |
| 4240 Repairs - Appliances | 3,870 | 4,405 | 4,144 | 4,269 | 3,895 | 3,931 | 3,979 | 4,169 | 3,985 | 3,909 | 4,347 | 4,338 | 49,242 |
| 4250 Painting & Decorating | 6,705 | 6,549 | 6,518 | 6,760 | 6,880 | 6,509 | 7,205 | 6,453 | 6,902 | 6,947 | 6,696 | 6,484 | 80,608 |
| 4260 Flooring | 5,759 | 5,647 | 5,946 | 5,774 | 5,998 | 5,647 | 5,624 | 5,848 | 5,526 | 5,421 | 5,587 | 6,019 | 68,796 |
| 4270 Make-Ready / Turnover | 3,597 | 3,599 | 3,271 | 3,570 | 3,411 | 3,276 | 3,707 | 3,734 | 3,536 | 3,331 | 3,438 | 3,355 | 41,825 |
| 4280 Landscaping Contract | 3,456 | 3,456 | 3,563 | 3,678 | 3,346 | 3,691 | 3,565 | 3,471 | 3,246 | 3,267 | 3,311 | 3,526 | 41,576 |
| 4290 Snow Removal | 1,887 | 1,845 | 1,905 | 1,883 | 1,956 | 1,723 | 1,817 | 1,909 | 1,872 | 1,768 | 1,823 | 1,950 | 22,339 |
| 4300 Janitorial | 6,488 | 6,375 | 6,072 | 6,759 | 6,155 | 6,307 | 6,325 | 6,004 | 6,619 | 6,296 | 6,879 | 6,594 | 76,874 |
| 4310 Pest Control | 5,303 | 5,553 | 5,636 | 5,269 | 5,929 | 5,700 | 5,913 | 5,253 | 5,479 | 5,779 | 5,459 | 5,239 | 66,511 |
| 4320 Trash Removal | 7,163 | 7,985 | 7,429 | 7,898 | 7,653 | 8,004 | 7,442 | 7,022 | 7,951 | 7,241 | 7,894 | 7,682 | 91,366 |
| 4330 Elevator Contract | 2,755 | 2,742 | 2,645 | 2,739 | 2,838 | 2,678 | 2,662 | 2,663 | 2,841 | 2,874 | 2,627 | 2,700 | 32,763 |
| 4340 Fire & Life Safety | 2,705 | 3,029 | 3,025 | 3,024 | 2,920 | 2,792 | 3,040 | 2,703 | 2,968 | 3,000 | 3,072 | 2,919 | 35,196 |
| 4350 Security | 2,326 | 2,236 | 2,205 | 2,161 | 2,264 | 2,246 | 2,308 | 2,343 | 2,373 | 2,382 | 2,324 | 2,161 | 27,328 |
| 4360 Electricity - Common | 4,464 | 4,402 | 4,322 | 3,995 | 4,166 | 4,497 | 4,546 | 4,260 | 4,030 | 4,439 | 4,484 | 4,051 | 51,656 |
| 4370 Gas - Common | 3,849 | 3,665 | 3,726 | 3,498 | 3,769 | 3,670 | 3,785 | 3,668 | 3,841 | 4,018 | 3,807 | 3,992 | 45,289 |
| 4380 Water & Sewer | 6,468 | 6,195 | 6,084 | 6,090 | 6,553 | 5,904 | 6,386 | 5,947 | 6,078 | 6,057 | 6,442 | 6,173 | 74,379 |
| 4390 Telephone/Internet | 2,097 | 2,141 | 2,085 | 1,973 | 2,128 | 2,129 | 2,201 | 2,040 | 2,182 | 1,973 | 2,009 | 2,198 | 25,156 |
| 4400 Advertising | 2,847 | 2,808 | 2,661 | 2,574 | 2,704 | 2,608 | 2,783 | 2,764 | 2,954 | 2,729 | 2,618 | 2,716 | 32,767 |
| 4410 Resident Events | 1,813 | 1,715 | 1,657 | 1,624 | 1,768 | 1,741 | 1,792 | 1,719 | 1,810 | 1,630 | 1,715 | 1,605 | 20,590 |
| 4420 Office Supplies | 2,785 | 2,994 | 2,859 | 2,788 | 2,796 | 2,955 | 2,913 | 2,992 | 2,777 | 3,154 | 3,126 | 3,142 | 35,281 |
| 4430 Legal & Professional | 7,572 | 6,883 | 6,781 | 6,833 | 6,785 | 6,717 | 7,026 | 7,434 | 6,964 | 6,727 | 7,534 | 6,617 | 83,871 |
| 4440 Accounting & Audit | 6,073 | 6,509 | 6,208 | 6,106 | 5,854 | 6,275 | 5,787 | 6,058 | 6,401 | 6,521 | 5,922 | 6,587 | 74,300 |
| 4450 Licenses & Permits | 2,290 | 2,308 | 2,193 | 2,424 | 2,270 | 2,155 | 2,155 | 2,319 | 2,406 | 2,355 | 2,287 | 2,192 | 27,355 |
| 4460 Management Fee | 2,991 | 2,958 | 2,734 | 2,977 | 2,671 | 2,849 | 2,984 | 2,822 | 2,946 | 2,654 | 2,688 | 2,971 | 34,245 |
| 4470 Property Insurance | 998 | 941 | 1,014 | 1,031 | 960 | 998 | 919 | 918 | 1,001 | 1,004 | 934 | 942 | 11,658 |
| 4480 Real Estate Taxes | 3,947 | 3,536 | 3,966 | 3,871 | 3,731 | 3,603 | 3,696 | 3,551 | 3,916 | 3,879 | 3,549 | 3,693 | 44,939 |
| 4490 Asset Management Fee | 1,185 | 1,268 | 1,310 | 1,286 | 1,230 | 1,265 | 1,191 | 1,301 | 1,315 | 1,329 | 1,273 | 1,289 | 15,242 |
| 4500 Replacement Reserves | 874 | 908 | 986 | 906 | 878 | 875 | 988 | 954 | 889 | 930 | 987 | 929 | 11,104 |
| 4510 Roof Repairs | 5,254 | 5,221 | 5,749 | 5,198 | 5,274 | 5,754 | 5,164 | 5,833 | 5,456 | 5,681 | 5,153 | 5,779 | 65,518 |
| 4520 Parking Lot Repairs | 6,187 | 6,177 | 6,180 | 6,980 | 6,951 | 6,679 | 6,774 | 6,792 | 6,911 | 6,891 | 6,438 | 6,208 | 79,168 |
| 4530 Signage | 4,368 | 4,181 | 4,432 | 4,323 | 4,227 | 4,546 | 4,643 | 4,505 | 4,455 | 4,564 | 4,389 | 4,130 | 52,763 |
| 4540 Tenant Improvements | 2,180 | 2,283 | 2,232 | 2,222 | 2,331 | 2,243 | 2,327 | 2,152 | 2,321 | 2,182 | 2,300 | 2,115 | 26,888 |
| 4550 Leasing Commissions | 4,947 | 4,980 | 5,359 | 5,011 | 5,497 | 5,104 | 5,159 | 5,205 | 5,022 | 5,678 | 5,176 | 5,565 | 62,702 |
| 4000 Gross Potential Rent | 67,925 | 63,259 | 59,331 | 59,725 | 66,591 | 62,527 | 63,396 | 60,591 | 62,169 | 65,044 | 63,701 | 62,029 | 756,289 |
| 4010 Loss to Lease | 54,515 | 52,134 | 53,251 | 50,141 | 55,585 | 49,252 | 56,218 | 56,103 | 55,588 | 54,617 | 54,463 | 55,447 | 647,315 |

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## Operating Performance

Debt service coverage ratio was 6.10x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. Physical occupancy is 90.1% and the average in-place rent is $156 per unit per month.

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Debt service coverage ratio was 6.62x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.7% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $100,000, representing a 8.8% increase over the prior year.

## Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 44 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Physical occupancy is 96.8% and the average in-place rent is $156 per unit per month. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Collections for the period were 92.4% of billed charges, with bad debt of 5.8% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 18 additional team members. Service requests are tracked through a work-order system with an average completion time of 38 hours.

## Financial Analysis

The going-in capitalization rate of 7.76% reflects the in-place income and the stabilized occupancy assumption. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Effective gross income for the trailing period was $289,000, representing a 3.2% increase over the prior year. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Net operating income is projected to grow at a compound annual rate of 7.3% over the hold period. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Effective gross income for the trailing period was $388,000, representing a 11.7% increase over the prior year. Physical occupancy is 90.6% and the average in-place rent is $156 per unit per month. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

## Property Operations

Service requests are tracked through a work-order system with an average completion time of 30 hours. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 11th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 94.2% of billed charges, with bad debt of 4.9% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 27 additional team members. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

## Income and Expense Review

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period. Effective gross income for the trailing period was $358,000, representing a 7.4% increase over the prior year. Operating expenses totaled $132,000 or approximately 7.82 per square foot, with real estate taxes representing the largest line item.

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# Summary and Notes

## Valuation Discussion

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Effective gross income for the trailing period was $266,000, representing a 12.1% increase over the prior year. Management fees are calculated at 4.5% of collected revenue and are included in operating expenses. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

Debt service coverage ratio was 7.36x on a trailing basis against a covenant minimum of 1.20x. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Management fees are calculated at 6.6% of collected revenue and are included in operating expenses. Physical occupancy is 92.4% and the average in-place rent is $156 per unit per month.

## Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 2 additional team members. Collections for the period were 93.5% of billed charges, with bad debt of 4.2% of gross potential income. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. The manager completes a monthly walk of the property and submits a variance report to the owner by the 34th business day.

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Service requests are tracked through a work-order system with an average completion time of 20 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 3 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 45th business day. Physical occupancy is 94.7% and the average in-place rent is $156 per unit per month.

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